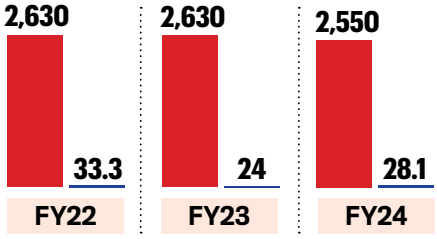
SIZE OF TRADE

India's seafood imports are negligible as compared to its exports to the US



India's exports to the US ($ mn)
India's imports from the US ($ mn)

Source: US FWS, Ministry of Commerce & Industry

TARIFF WAR

Earlier

India: 0-5%

US: 30%

Now

India: 26%*

US: Unchanged

(Average tariff)

**Paused for 90 days*

India imposes a 30 per cent tariff on shrimp imports from the US. The US is also not happy with further subsidies that India provides to its domestic producers. Compounding India's challenge, its key rivals in the sector face lower or no tariffs—as of now, Canada has duty-free access under the US-Mexico-Canada Agreement (USMCA), while Ecuador and Argentina pay just 10 per cent. This puts India at a disadvantage, say analysts, as this sector with a typical profit margin of just 4-5 per cent will find it difficult to absorb the high tariffs. In fact, they warn of a potential 20 per cent drop in seafood shipments from India and its adverse impact on 30 million livelihoods. ■

HOW TO COME OUT A WINNER

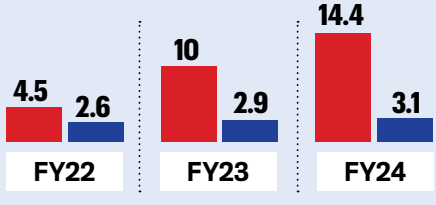


By **RANJA SENGUPTA**
Senior Researcher, Third World Network India

- **The Indian government should explore support mechanisms like interest subsidies, easier credit and assistance for market diversification to cushion exporters**
- **While WTO rules discourage export subsidies, India may consider limited or targeted support to sustain competitiveness, especially as major economies increasingly bypass multilateral norms**
- **In any bilateral trade agreement (BTA) with the US, India must weigh the risks of giving it preferential treatment in seafood sector, as other FTA partners could also demand similar treatment in the broader agriculture sector**

SIZE OF TRADE

India's exports to the US have surged, widening the trade gap even as US exports to India remained modest



India's exports to the US ($ bn)
India's imports from the US ($ bn)

TARIFF WAR

Earlier

India: 0.41%

US: 0-25%

Now

India: 26%*

US: Unchanged

(Average tariff)

**Paused for 90 days*

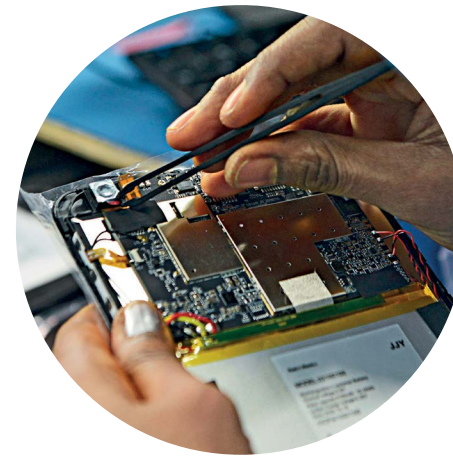


HOW TO COME OUT A WINNER

By **PANKAJ MAHINDROO**
Chairman, India Cellular & Electronics Association

- **The true inflection point for India's electronics trade with the US will rest on the successful conclusion of a bilateral trade agreement (BTA)**
- **Reports suggest that US-based or bound firms like Apple and Samsung are considering boosting production in India to offset higher tariffs on other Asian hubs. They aim to leverage India's lower tariffs to stay competitive**
- **India needs to accelerate the manufacturing plan. The PLI schemes' ambit should be expanded to newer segments**

RAJWANT RAWAT



will hit the competitiveness of Indian exports in the US market, with a conservative projection of a 12 per cent drop in export volumes of electrical, telecom and electronic products this fiscal. Industry insiders reported a frantic effort to ship goods ahead of the April 9 deadline, with flights reportedly packed with phones and electronics from OEM factories. Higher tariffs will inflate prices of Indian products in the US, reducing demand and affecting market share. ■